Unlocking the Hidden Value of Garage Parking in Commercial Real Estate

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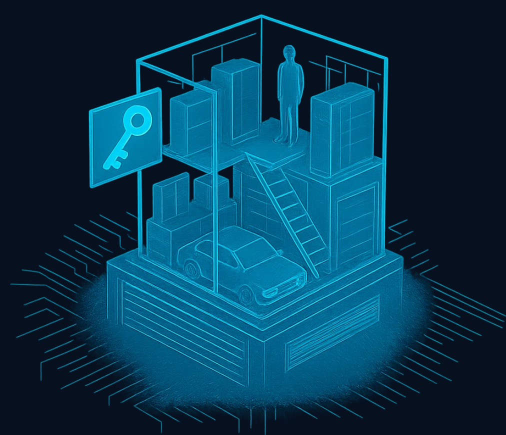


Parking is often viewed as a logistical necessity-but in the world of commercial real estate, it's also a critical value driver. While real estate veterans bring deep intuition and experience to questions like *How much land should be allocated to parking?* or *What type of parking best fits a specific location?* Today's data tools open new dimensions of insight to back up-or even enhance-those strategic decisions.

At Mina, we apply advanced AI and NLP techniques to extract meaningful features from unstructured data. One example is our proprietary "Garage Parking" variable, a simple yet powerful binary indicator of whether a building includes a garage. This feature is now embedded in our Real Estate Model (REM), enabling granular analysis of parking-related financial returns across geographies and building types.

Let's look at what the data says.

Contact us if you'd like to see the most up to date numbers and building specific analysis.

First, our analytics reveal that **higher-class buildings are significantly more likely to include garage parking** (Figure 1). These buildings often serve high-density urban areas (figure 3), where surface parking is impractical and land is at a premium. **In these dense zip codes, garage parking commands significantly higher lease premiums** (Figure 4), making it not just a convenience-but a smart investment.

Figure 1: Percentage of Samples with Garage Parking by Building Class.

Quartile of Population Density	% of Samples with Garage Parking	
	California	Florida
A	47.4%	52.6%
B	17.9%	12.7%
C	10.7%	4.5%

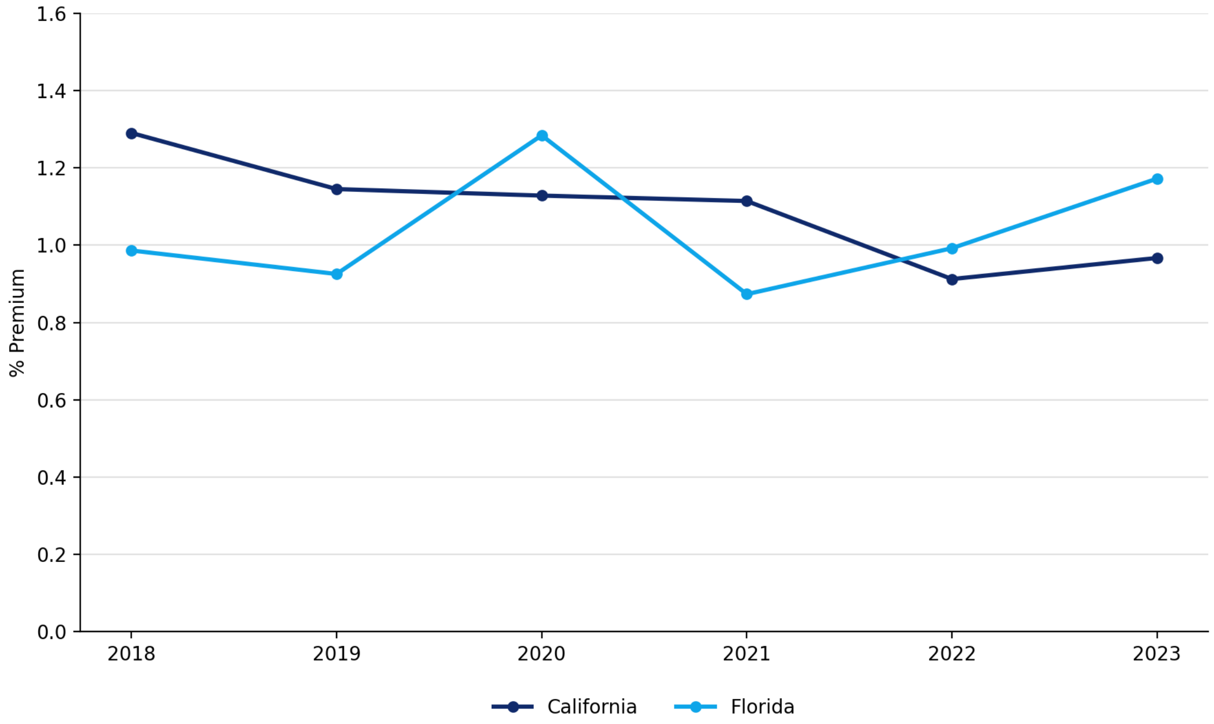
Source: Mina Analytics

Second, Mina's REM allows us to track how these garage parking premiums have evolved over time. As illustrated in Figure 2, **Florida saw a sharp decline in garage parking value after the COVID-19 pandemic hit whereas California only showed a minor decline (trend begins even before pandemic)**. But here's the twist: **Florida's premiums began rebounding strongly by 2021**, reflecting a faster return to office-based work and looser lockdown policies.

California's recovery lagged, beginning in 2022 as mobility and occupancy slowly returned to urban cores. These patterns showcase how garage parking value is not static-it's shaped by local context, behavioral shifts, and public policy.

But there's more.

Figure 2: Garage Parking % Premium by Year for California and Florida.



Source: Mina Analytics

Garage parking is only one of many features Mina tracks and quantifies. Our REM doesn't just say *whether* a feature matters-it tells you *how much* it matters, for *which types* of buildings, in *what locations*, and over *what timeframe*. For example, while garage parking delivers strong premiums in dense metro areas, it may yield lower returns in suburban zones or for medical-use properties, depending on layout constraints and tenant needs.

Ultimately, optimizing parking-like many CRE decisions-is complex. But with the right analytics platform, it becomes actionable. Mina empowers you to measure every square foot's value contribution, including assets as underappreciated as parking. For investors, developers, and asset managers alike, that's an edge worth leveraging.

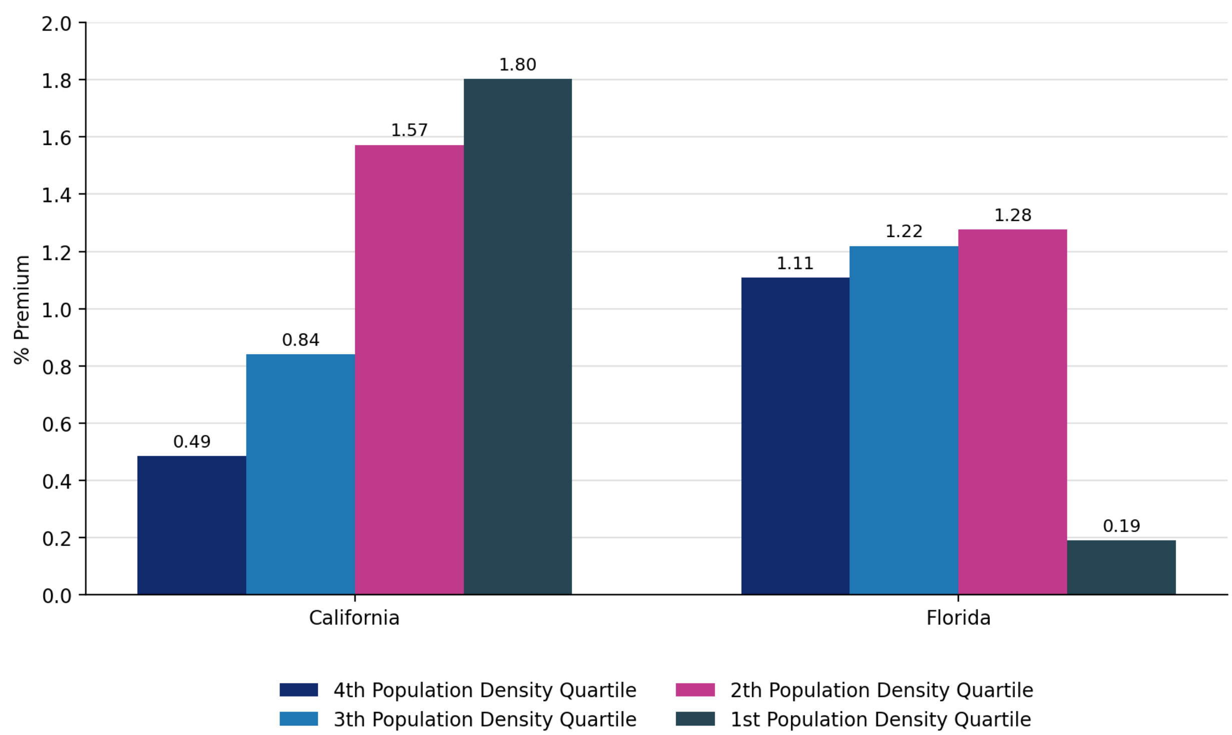
Figure 3: Percentage of Samples with Garage Parking by Quartile of Population Density. *

Quartile of Population Density	% of Samples with Garage Parking	
	California	Florida
1st Quartile	13.6%	9.1%
2nd Quartile	19.0%	18.9%
3rd Quartile	23.8%	14.7%
4th Quartile	33.1%	33.4%

**Note: 4th is the highest population density quartile and 1st is the lowest*

Source: Mina Analytics

Figure 4: Garage Parking % Premium by Quartile of Population Density.



Source: Mina Analytics